

Investors, analysts and other interested parties may access Acadian Timber Corp.'s 2025 Third Quarter Results conference call and webcast on Thursday, October 30, 2025 at 1:00PM ET. Please register [here](#) or follow the link on our website at www.acadiantimber.com/presentations-webcasts, to receive your unique PIN. For those unable to participate, a recorded rebroadcast will be available until 4:00PM ET October 30, 2026.

ACADIAN TIMBER CORP. REPORTS THIRD QUARTER RESULTS

Edmundston, NEW BRUNSWICK – October 29, 2025 – Acadian Timber Corp. (“Acadian” or the “Company”) (TSX:ADN) today reported financial and operating results¹ for the three months ended September 27, 2025 (the “third quarter”).

“The third quarter included both operational stability and transitional pressures for Acadian,” said Adam Sheparski, President and Chief Executive Officer. “Stable contractor availability supported steady operations in New Brunswick, and although we had success in expanding our internal logging operations workforce, we continued to face production and trucking constraints in Maine. However, we remain confident that our internal logging operations will strengthen Acadian’s long-term performance.”

Acadian generated sales of \$23.0 million, compared to \$26.0 million in the prior year period. Acadian generated \$1.0 million of Free Cash Flow during the third quarter and declared dividends of \$5.3 million or \$0.29 per share to our shareholders. Acadian’s balance sheet remains solid with \$15.1 million of net liquidity as at September 27, 2025, which includes funds available under our credit facilities.

¹ This news release makes reference to “Adjusted EBITDA”, which Acadian’s management defines as net income before interest, income taxes, fair value adjustments, non-cash cost of sales related to carbon credits, recovery of or impairment of land and roads and depreciation and amortization, and to “Adjusted EBITDA margin”, which is Adjusted EBITDA as a percentage of sales. Reference is also made to “Free Cash Flow”, which Acadian’s management defines as Adjusted EBITDA less interest paid, current income tax expense, capital expenditures excluding acquisitions of timberlands and non-cash expenditures, and mandatory debt repayments, plus net proceeds from the sale of timberlands and other fixed assets (proceeds less gains or losses). Management believes that Adjusted EBITDA, Adjusted EBITDA margin, and Free Cash Flow are key performance measures in evaluating Acadian’s operations and are important in enhancing investors’ understanding of the Company’s operating performance. Adjusted EBITDA and Adjusted EBITDA margin are indicative of the underlying profitability of Acadian’s operating segments and are used to evaluate operational performance. Free Cash Flow is used to evaluate Acadian’s ability to generate sustainable cash flows from our operations that are available for dividends, repurchases of common shares, debt reduction, acquisitions, and other capital allocation activities. Reference is also made to “net liquidity” which includes cash and cash equivalents and funds available under credit facilities less amounts reserved to support the minimum cash balance related to long-term debt. Please refer to the section entitled “Non-IFRS Measures” in Management’s Discussion and Analysis for further details.

Review of Operations

Financial and Operating Highlights

	Three Months Ended		Nine Months Ended	
<i>(CAD thousands, except volume and per share information)</i>	September 27, 2025	September 28, 2024	September 27, 2025	September 28, 2024
Timber sales volume (000s m ³)	260.6	287.4	718.5	744.9
Carbon credit sales volume (000s credits)	—	—	—	752.1
Timber sales and services	\$ 23,017	\$ 25,959	\$ 64,980	\$ 71,371
Carbon credit sales	—	—	—	24,588
Operating income	2,956	3,899	9,075	20,444
Net income	2,928	2,215	9,253	16,153
Adjusted EBITDA	\$ 3,508	\$ 4,039	\$ 10,602	\$ 35,194
Adjusted EBITDA margin	15%	16%	16%	37%
Free Cash Flow	\$ 991	\$ 2,540	\$ 4,778	\$ 26,680
Dividends declared	5,256	5,080	15,637	15,128
Dividends paid in cash	2,592	2,588	7,773	8,900
Per share – basic and diluted				
Net income	\$ 0.16	\$ 0.13	\$ 0.51	\$ 0.93
Free Cash Flow	0.05	0.15	0.27	1.53
Book value	18.67	18.69	18.67	18.69
Dividends declared per share	0.29	0.29	0.87	0.87

Acadian's operations during the third quarter benefited from mixed but generally stable demand for its products. Contractor availability was sufficient in New Brunswick while Maine experienced operational challenges in the form of limited trucking capacity and lower productivity during the ramp-up of internal logging operations.

Acadian generated revenue from timber sales and services of \$23.0 million during the third quarter, compared to \$26.0 million in the prior year period. The year-over-year decrease was primarily due to lower timber sales volumes in Maine and reduced timber services activity in New Brunswick.

Timber sales volume, excluding biomass, of 245,200 m³ decreased 8% compared to the third quarter of 2024. Timber sales volumes, excluding biomass, in New Brunswick were consistent with the same period of 2024, despite harvesting operations being temporarily disrupted by elevated fire risk resulting from dry conditions. Sales volumes in Maine remained challenged due to limited trucking capacity and lower production during the ramp-up of internal logging operations. Timber services revenue decreased 29% compared to the prior year period reflecting a favourable change in customer mix which redirected harvesting from Crown licensed timberlands to our freehold operations. The shift decreased our timber services revenue and increased sales from the freehold timberlands.

Weighted average selling price, excluding biomass, remained flat year-over-year. Softwood sawlog prices increased 10% driven by modest improvements in end user markets, a higher value product mix and longer hauling distances. Hardwood sawlog prices decreased 11% as compared to the prior year period due to a lower value product mix and continued weakness in lumber markets. Pulpwood pricing remained relatively consistent with the prior year period. Lower fuel adjustment surcharges, resulting from lower fuel prices, particularly in New Brunswick, also impacted pricing.

Operating costs and expenses decreased \$2.0 million compared to the prior year period as a result of decreased timber sales volumes and timber services activity, partially offset by higher average operating costs and expenses per m³ produced in Maine as a result of a more fixed cost structure and lower production levels.

Adjusted EBITDA and Adjusted EBITDA margin were \$3.5 million and 15% during the third quarter compared to \$4.0 million

and 16%, respectively, in the prior year period. Free Cash Flow was \$1.0 million compared to \$2.5 million in the prior year period.

Net income for the third quarter totaled \$2.9 million, or \$0.16 per share, compared to net income of \$2.2 million, or \$0.13 per share, in the same period of 2024, due to higher non-cash fair value adjustments and lower income tax expense, partially offset by lower operating income and higher interest expense.

During the first nine months of 2025, Acadian generated revenue from timber sales and services of \$65.0 million compared to \$71.4 million in the prior year period. Carbon credit sales contributed an additional \$24.6 million to sales in the same period of 2024 while no carbon credit sales occurred in 2025. Timber sales volumes, excluding biomass, decreased 6% as compared to the first nine months of 2024 primarily due to the operating challenges in Maine, and the weighted average selling price decreased by 2%. Operating costs and expenses of \$55.9 million were \$19.6 million lower year-over-year. Included in operating costs and expenses in the prior year period were \$18.9 million related to carbon credit sales. Operating costs and expenses related to timber sales and services were consistent with the prior year period with the impact of reduced sales volumes and lower timber services activity offset by higher average operating costs and expenses per m³ produced in Maine.

Adjusted EBITDA for the first nine months of 2025 of \$10.6 million was \$24.6 million lower compared to the prior year period with \$19.8 million attributable to the sale of carbon credits in 2024.

For the nine months ended September 27, 2025, net income was \$9.3 million, or \$0.51 per share, a decrease of \$6.9 million compared to the prior year period, primarily the result of lower operating income partially offset by lower income tax expense.

Segment Performance

New Brunswick Timberlands

The table below summarizes operating and financial results for New Brunswick Timberlands:

(CAD thousands, except volume)	Three Months Ended		Nine Months Ended	
	September 27, 2025	September 28, 2024	September 27, 2025	September 28, 2024
Sales (000s m ³)				
Softwood	156.7	152.9	388.0	354.4
Hardwood	64.5	71.8	204.3	207.7
Biomass	15.4	18.4	48.2	32.3
Total	236.6	243.1	640.5	594.4
Sales (\$000s)				
Softwood	\$ 11,592	\$ 10,694	\$ 28,459	\$ 25,928
Hardwood	5,063	5,800	17,798	18,503
Biomass	234	238	757	946
Total	\$ 16,889	\$ 16,732	\$ 47,014	\$ 45,377
Timber services and other	3,626	5,073	10,001	11,715
Total Sales (\$000s)	\$ 20,515	\$ 21,805	\$ 57,015	\$ 57,092
Adjusted EBITDA (\$000s)	\$ 4,363	\$ 4,784	\$ 14,218	\$ 15,303
Adjusted EBITDA margin	21%	22%	25%	27%

Sales for New Brunswick Timberlands were \$20.5 million compared to \$21.8 million during the prior year period. Harvesting operations were temporarily disrupted by dry conditions and elevated fire risk; however, targeted freehold volumes were achieved. The year-over-year decrease in sales primarily reflects reduced timber services activity, which offset the benefit of

a higher weighted average selling price. Biomass sales volume was lower compared to the prior year period due to timing differences across quarters.

The weighted average selling price, excluding biomass, for the third quarter was \$75.27 per m³, or 3% higher than the prior year period. Softwood sawlog pricing increased 12% as compared to the prior year period due to modest improvements in end user markets, a higher value product mix and longer hauling distances. Hardwood sawlog pricing decreased 9% primarily due to a lower value product mix and weakness in lumber markets. Softwood pulpwood pricing increased 5% and hardwood pulpwood pricing remained consistent, as compared to the prior year period, as a result of stable demand.

Operating costs and expenses were \$16.2 million during the third quarter, compared to \$17.1 million in the prior year period. Additional costs related to increased freehold harvesting activity were offset by lower timber services activity and decreased weighted average variable costs, as compared to the third quarter of 2024. Weighted average variable costs, excluding biomass, decreased 2% as a result of a higher proportion of softwood products which carry lower variable costs, and lower fuel adjustment costs, partially offset by increased contractor rates and longer hauling distances.

Adjusted EBITDA for the quarter was \$4.4 million compared to \$4.8 million during the prior year period and Adjusted EBITDA margin was 21% compared to 22%.

During the first nine months of 2025, New Brunswick Timberlands' sales of \$57.0 million were consistent with the prior year period with increased freehold sales volumes and a consistent year-over-year weighted average selling price offset by lower timber services activity. Freehold sales volume, excluding biomass, increased 5% compared to the prior year period primarily due to a favourable change in customer mix which shifted harvesting volumes from Crown licensed timberlands to our freehold timberlands, decreasing our timber services revenue and increasing our freehold sales.

Operating costs and expenses of \$43.2 million during the first nine months of 2025 were \$1.2 million higher than the prior year period. Additional costs related to increased freehold harvesting activity were partially offset by lower timber services activity. Weighted average variable costs, excluding biomass, remained consistent with the first nine months of 2024, with the impact of greater softwood sawlog hauling distances and higher contractor rates offset by a higher proportion of softwood products which carry lower variable costs, and lower fuel adjustment costs. Adjusted EBITDA was \$14.2 million, compared to \$15.3 million in the same period of 2024, and Adjusted EBITDA margin was 25% compared to 27%.

Maine Timberlands

Internal Logging Operations

Prior to January 1, 2025, all harvesting operations in Maine were performed by third-party contractors. During the first quarter of 2025, Acadian established its own internal logging operations. This occurred through two initiatives.

In January 2025, Acadian purchased several pieces of harvesting equipment for \$2.4 million and hired equipment operators to conduct harvesting operations on Acadian's Maine Timberlands.

On February 28, 2025, Acadian acquired certain logging and related assets of A & A Brochu, LLC ("A & A Brochu") and its affiliates for total cash consideration of \$6.9 million. The assets include harvesting, trucking and road working equipment and related real estate which, combined with an established workforce, constitute a portion of A & A Brochu's logging operation in Maine.

Recognized amounts of assets acquired from A & A Brochu are as follows:

<i>(CAD thousands)</i>		
Equipment	\$	5,235
Land and buildings		1,461
Intangible assets		234
Total identifiable assets acquired	\$	6,930

The fair values are provisional, pending completion of a detailed inventory and fair value assessment of all assets acquired. No liabilities were assumed.

Although some operations will continue to be performed by external contractors in Maine in the near term, these initiatives

represent a significant transition away from contracted logging operations in Maine. During the first nine months of 2025, production volumes were below anticipated long-term levels, and operating costs per m³ of timber produced were elevated relative to long-term targets. Additionally, the transition to a more fixed cost structure has resulted in changes from historical cost patterns, with costs less directly tied to revenue generated. This impact is amplified during less productive seasons because of the lower sales volumes. During the third quarter, we expanded the workforce within our internal harvesting operations and as we exited the quarter production levels started to improve.

Acadian is actively investing in operator training programs and optimizing equipment utilization to support this strategic shift and complete the ramp-up. These efforts are designed to enhance efficiency, build long-term capabilities, and ensure sustained cost improvements. As internal operations continue to scale, Acadian expects to increase production capacity and drive greater cost efficiency in Maine.

The table below summarizes operating and financial results for Maine Timberlands:

		Three Months Ended		Nine Months Ended	
<i>(CAD thousands, except volume)</i>		September 27, 2025	September 28, 2024	September 27, 2025	September 28, 2024
Sales (000s m ³)					
	Softwood	13.4	24.2	44.0	84.3
	Hardwood	10.6	17.3	29.7	61.0
	Biomass	—	2.8	4.3	5.2
	Total	24.0	44.3	78.0	150.5
Sales (\$000s)					
	Softwood	\$ 1,289	\$ 2,191	\$ 4,139	\$ 7,894
	Hardwood	858	1,538	2,664	5,416
	Biomass	—	77	113	100
	Total	\$ 2,147	\$ 3,806	\$ 6,916	\$ 13,410
Other sales		355	348	1,049	869
Total Sales (\$000s)		\$ 2,502	\$ 4,154	\$ 7,965	\$ 14,279
Adjusted EBITDA (\$000s)		\$ (503)	\$ (207)	\$ (2,114)	\$ 1,843
Adjusted EBITDA margin		(20)%	(5)%	(27)%	13%

Sales for Maine Timberlands during the third quarter totaled \$2.5 million compared to \$4.2 million in the prior year period. Timber sales volume, excluding biomass, decreased 42%. The decrease in volumes year-over-year is reflective of limited trucking capacity, as some trucking operations continue to be performed by external contractors, combined with the short-term harvesting productivity constraints previously noted.

The weighted average selling price, excluding biomass, was \$89.38 per m³ in Canadian dollar terms and \$64.93 per m³ in U.S. dollar terms, consistent with the same period of 2024. Increased softwood sawlog pricing of 5% resulting from a favourable product mix was offset by a decrease in hardwood pulpwood pricing of 6% resulting from a decrease in demand. Hardwood sawlog and softwood pulpwood volumes were minimal during the quarter.

Operating costs and expenses for the third quarter were \$3.4 million, compared to \$4.4 million during the same period in 2024. Decreased costs resulting from lower timber sales volumes were partially offset by higher average operating costs and expenses per m³ produced. This increase is attributable to the lower production during the ramp-up of internal logging operations, as well as the transition to a more fixed cost structure.

Adjusted EBITDA for the quarter was \$(0.5) million compared to \$(0.2) million during the prior year period and Adjusted EBITDA margin was (20)% compared to (5)%.

During the first nine months of 2025, Maine Timberlands' sales were \$8.0 million compared to \$14.3 million during the first

nine months of 2024. Timber sales volumes, excluding biomass, were 49% lower than the same period in the prior year for the same reasons cited above. The weighted average selling price, excluding biomass, was consistent with the prior year period in both Canadian and U.S. dollar terms. Operating costs and expenses of \$11.1 million during the first nine months of 2025 were \$1.6 million lower than the prior year period as a result of lower harvesting activity partially offset by higher operating costs and expenses per m³ produced for the same reasons cited above.

Environmental Solutions

During the first nine months of 2024, 752,100 carbon credits were sold. No sales occurred during the first nine months of 2025.

The table below summarizes operating and financial results for Environmental Solutions:

	Three Months Ended		Nine Months Ended	
	September 27, 2025	September 28, 2024	September 27, 2025	September 28, 2024
Sales volume (000s credits)	—	—	—	752.1
Sales (\$000s)	\$ —	\$ —	\$ —	\$ 24,588
Adjusted EBITDA (\$000s)	\$ —	\$ —	\$ —	\$ 19,839

The ACR has developed Version 2.1 of the Improved Forest Management protocol, which is fundamentally the same approach as the previous protocol but introduces dynamic baselines. Carbon credits assessed using the new protocol are expected to be more appealing to customers, thereby commanding higher pricing. Acadian's project is currently being transitioned to the new protocol, which has resulted in a delay in the registration process for the second and third tranches of carbon credits for the project. Registration is expected in the last quarter of 2025.

The transition to the new protocol may result in slightly fewer total carbon credits being issued than was expected under the initial protocol. However, all credits generated are expected to be higher-valued carbon removal credits, and no conservation credits will be generated. Actual credit issuances will be adjusted each reporting period based on actual harvesting, natural disturbances, and other factors, as well as periodic updating for inventory and verification activities.

This project has provided valuable experience to the Acadian management team and has formed the foundation for potential carbon credit developments in the future.

Outlook

Near-term pressures on end-use markets have continued, with trade policy developments adding further complexity for forest products companies in both the U.S. and Canada. The recent escalation of U.S. duties on Canadian softwood lumber, along with new tariffs on select wood-based products, poses a potential risk to Canadian exporters and may dampen cross-border demand.

Despite these headwinds, macroeconomic indicators remain supportive. North American interest rates are easing, and the consensus forecast for U.S. housing starts is steady at approximately 1.35 million starts in 2025, consistent with 2024. We remain confident that the stability of the northeastern forestry sector, combined with long-term demand for new homes and repair and remodel activity, will support the long-term demand for our products.

We maintained sufficient contractor availability in New Brunswick through the third quarter, which is expected to continue for the remainder of the year. During the third quarter, we expanded the workforce within our internal harvesting operations. As we exited the quarter, production levels have started to improve and with continued focus on the internal logging operations, we expect to increase production levels while advancing toward our targeted cost structure.

Demand for Acadian's sawlogs is mainly driven by regional supply and demand. Near-term sawlog demand is expected to remain stable while pricing may remain challenged until end-use markets improve. Demand and pricing for softwood pulpwood and hardwood pulpwood is expected to remain at reduced levels in the near term.

With respect to voluntary carbon credits, demand and pricing are expected to remain stable. Issuance of the next tranches of carbon credits from Acadian's current project has been delayed due to the transition to ACR's updated Improved Forest Management protocol. However, registration of additional carbon credits is anticipated for 2025, and the updated protocol is expected to improve the marketability of the resulting carbon credits. The protocol for developing compliance market carbon credits from managed forests in Canada was finalized during 2024; Acadian is evaluating the opportunities to develop eligible carbon credits that the compliance protocol may present, in conjunction with the opportunities that exist under voluntary protocols.

Quarterly Dividend

Based on a strong balance sheet and positive outlook for the remainder of the year, Acadian is pleased to announce a dividend of \$0.29 per share, payable on January 15, 2026 to shareholders of record December 31, 2025.

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Acadian Timber Corp. ("Acadian") is one of the largest timberland owners in Eastern Canada and the Northeastern U.S. and has a total of approximately 2.4 million acres of land under management. Acadian owns and manages approximately 775,000 acres of freehold timberlands in New Brunswick, approximately 300,000 acres of freehold timberlands in Maine and provides timber services relating to approximately 1.3 million acres of Crown licensed timberlands in New Brunswick. Acadian's primary business is forest management and the production of timber products, including softwood and hardwood sawlogs, pulpwood, and biomass by-products, sold to approximately 90 regional customers. Acadian also focusses on generating income through other opportunities including real estate and environmental solutions.

Acadian's business strategy is to maximize cash flows from its existing timberland assets through sustainable forest management and other land use activities while growing its business by acquiring assets and actively managing these assets to drive improved performance.

Acadian's shares are listed for trading on the Toronto Stock Exchange under the symbol ADN.

For further information, please visit our website at www.acadiantimber.com or contact:

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Cautionary Statement Regarding Forward-Looking Information and Statements

This News Release contains forward-looking information and statements within the meaning of applicable Canadian securities laws that involve known and unknown risks, uncertainties and other factors that may cause the actual results, performance or achievements of Acadian Timber Corp. and its subsidiaries (collectively, “Acadian”), or industry results, to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. Forward-looking information is included in this News Release and includes statements made in the sections entitled “Internal Logging Operations”, “Segmented Performance – Environmental Solutions” and “Outlook” and without limitation other statements regarding management’s beliefs, intentions, results, performance, goals, achievements, future events, plans and objectives, business strategy, growth strategy and prospects, access to capital, liquidity and trading volumes, dividends, taxes, capital expenditures, projected costs, market trends and similar statements concerning anticipated future events, results, achievements, circumstances, performance or expectations that are not historical facts. All forward-looking statements in this News Release are qualified by these cautionary statements. Forward-looking statements involve significant risks and uncertainties, should not be read as guarantees of future performance or results, should not be unduly relied upon, and will not necessarily be accurate indications of whether or not such results will be achieved. Actual results may vary. These forward-looking statements include, but are not limited to:

- *Expectations regarding the number and timing of carbon credits that will be successfully registered and available for sale. Actual credit issuances will be adjusted each reporting period based on actual harvesting, natural disturbances and other factors, as well as periodic updating for inventory and verification activities.*
- *Expectations regarding product demand, pricing and end use markets, including expectations for U.S. housing starts, which may be impacted by changes in interest rates, U.S. population demographics and the inventory of homes for sale. Expectations regarding product demand and pricing are based on anticipated market conditions, anticipated regional inventory levels of key customers, and the economic situation of key customers. Estimates for U.S. housing starts are based on forecasts published by major financial institutions.*
- *Expectations regarding future production volumes and costs associated with internal logging operations which may be impacted by operational efficiency, the regional supply of skilled operators, product demand, pricing and end use markets.*
- *Expectations regarding the impacts of escalated duties on softwood lumber and potential tariffs levied on U.S. imports from Canada, which may include direct impacts related to changes to the price of and demand for Acadian’s products originating in Canada as well as the U.S., and indirect impacts associated with changes in the price of and demand for the products of Acadian’s key customers and the greater economy.*
- *Expectations regarding future contractor availability, which may be impacted by regional supply of trained contractors and changes in the demographics of the available workforce.*

Other risks and factors are discussed under the heading “Risk Factors” in Annual Report dated February 12, 2025 and in the Annual Information Form dated March 28, 2025 and other filings of Acadian made with securities regulatory authorities, which are available on SEDAR+ at www.sedarplus.ca. Forward-looking information is based on various material factors or assumptions, which are based on information currently available to Acadian. Readers are cautioned that the preceding list of material factors or assumptions is not exhaustive. Although the forward-looking statements contained in this News Release are based upon what management believes are reasonable assumptions, Acadian cannot assure readers that actual results will be consistent with these forward-looking statements. The forward-looking statements in this News Release are made as of the date of this News Release based on information currently available to management and should not be relied upon as representing Acadian’s views as of any date subsequent to the date of this News Release. Acadian assumes no obligation to update or revise these forward-looking statements to reflect new information, events, circumstances or otherwise, except as may be required by applicable law.

Acadian Timber Corp.
Consolidated Balance Sheets

(unaudited)

<i>As at</i> <i>(CAD thousands)</i>	September 27, 2025	December 31, 2024
Assets		
Current assets		
Cash and cash equivalents	\$ 2,426	\$ 15,250
Accounts receivable and other assets	8,098	8,576
Current income taxes receivable	736	—
Inventories	2,145	2,094
	13,405	25,920
Timber	472,801	471,890
Land, roads, and other fixed assets	110,215	104,067
Intangible asset	6,239	6,140
Total assets	\$ 602,660	\$ 608,017
Liabilities and shareholders' equity		
Current liabilities		
Accounts payable and accrued liabilities	\$ 9,237	\$ 10,922
Current income taxes payable	—	229
Dividends payable to shareholders	5,256	5,126
Current portion of long-term debt	715	46,045
	15,208	62,322
Long-term debt	112,036	68,896
Deferred income tax liabilities, net	137,042	137,770
Total liabilities	264,286	268,988
Shareholders' equity	338,374	339,029
Total liabilities and shareholders' equity	\$ 602,660	\$ 608,017

Acadian Timber Corp.
Consolidated Statements of Net Income
(unaudited)

	Three Months Ended		Nine Months Ended	
	September	September	September	September
<i>(CAD thousands, except per share data)</i>	27, 2025	28, 2024	27, 2025	28, 2024
Sales	\$ 23,017	\$ 25,959	\$ 64,980	\$ 95,959
Operating costs and expenses				
Cost of sales	16,629	18,306	45,427	63,413
Selling, administration and other	2,011	2,567	8,391	10,671
Silviculture	1,421	1,187	2,087	1,431
	20,061	22,060	55,905	75,515
Operating income	2,956	3,899	9,075	20,444
Interest expense, net	(1,049)	(654)	(2,934)	(2,400)
Other items				
Fair value adjustments and other	1,192	(92)	5,554	4,991
Gain on sale of timberlands and other fixed assets	—	1	158	203
Income before income taxes	3,099	3,154	11,853	23,238
Income tax expense	(171)	(939)	(2,600)	(7,085)
Net income	\$ 2,928	\$ 2,215	\$ 9,253	\$ 16,153
Net income per share – basic and diluted	\$ 0.16	\$ 0.13	\$ 0.51	\$ 0.93

Acadian Timber Corp.
Consolidated Statements of Comprehensive Income

(unaudited)

	Three Months Ended		Nine Months Ended	
	September	September	September	September
<i>(CAD thousands)</i>	27, 2025	28, 2024	27, 2025	28, 2024
Net income	\$ 2,928	\$ 2,215	\$ 9,253	\$ 16,153
Other comprehensive income				
Items that may be reclassified subsequently to net income:				
Unrealized foreign currency translation gain / (loss)	1,299	(752)	(2,044)	1,619
Comprehensive income	\$ 4,227	\$ 1,463	\$ 7,209	\$ 17,772

Acadian Timber Corp.
Consolidated Statements of Cash Flows

(unaudited)

<i>(CAD thousands)</i>	Three Months Ended		Nine Months Ended	
	September 27, 2025	September 28, 2024	September 27, 2025	September 28, 2024
Cash provided by (used for):				
Operating activities				
Net income	\$ 2,928	\$ 2,215	\$ 9,253	\$ 16,153
Adjustments to net income:				
Income tax expense	171	939	2,600	7,085
Depreciation and amortization	552	139	1,369	369
Fair value adjustments and other	(1,192)	92	(5,554)	(4,991)
Non-cash cost of sales related to carbon credits	—	—	—	14,178
Gain on sale of timberlands and other fixed assets	—	(1)	(158)	(203)
Income taxes refunded (paid)	103	(676)	(2,904)	(2,919)
Net change in non-cash working capital balances and other	117	2,342	(2,405)	1,955
	2,679	5,050	2,201	31,627
Financing activities				
Proceeds from equipment loan	—	—	2,189	—
Proceeds from short-term debt	—	—	—	10,298
Repayment of short-term debt	—	—	—	(10,298)
Mandatory debt repayments	(178)	—	(398)	—
Dividends paid to shareholders	(2,592)	(2,588)	(7,773)	(8,900)
	(2,770)	(2,588)	(5,982)	(8,900)
Investing activities				
Business acquisition	—	—	(6,510)	—
Additions to timber, land, roads, and other fixed assets	(148)	(292)	(3,138)	(10,157)
Proceeds from sale of timberlands and other fixed assets	19	1	605	218
	(129)	(291)	(9,043)	(9,939)
Increase / (Decrease) in cash and cash equivalents during the period	(220)	2,171	(12,824)	12,788
Cash and cash equivalents, beginning of period	2,646	12,448	15,250	1,831
Cash and cash equivalents, end of period	\$ 2,426	\$ 14,619	\$ 2,426	\$ 14,619

Acadian Timber Corp.
Reconciliations to Adjusted EBITDA and Free Cash Flow
(unaudited)

	Three Months Ended		Nine Months Ended	
<i>(CAD thousands)</i>	September 27, 2025	September 28, 2024	September 27, 2025	September 28, 2024
Net income	\$ 2,928	\$ 2,215	\$ 9,253	\$ 16,153
Add / (deduct):				
Interest expense, net	1,049	654	2,934	2,400
Income tax expense	171	939	2,600	7,085
Depreciation and amortization	552	139	1,369	369
Fair value adjustments and other	(1,192)	92	(5,554)	(4,991)
Non-cash cost of sales related to carbon credits	—	—	—	14,178
Adjusted EBITDA	\$ 3,508	\$ 4,039	\$ 10,602	\$ 35,194
Add / (deduct):				
Interest paid on debt, net	(1,085)	(764)	(3,036)	(2,485)
Additions to land, roads, and other fixed assets	(148)	(292)	(949)	(740)
Mandatory debt repayments	(178)	—	(398)	—
Gain on sale of timberlands and other fixed assets	—	(1)	(158)	(203)
Proceeds from sale of timberlands and other assets	19	1	605	218
Current income tax expense	(1,125)	(443)	(1,888)	(5,304)
Free Cash Flow	\$ 991	\$ 2,540	\$ 4,778	\$ 26,680
Dividends declared	\$ 5,256	\$ 5,080	\$ 15,637	\$ 15,128
Dividends paid in cash	\$ 2,592	\$ 2,588	\$ 7,773	\$ 8,900